
SM131 – Exam #1 Review Guide

v2.0 - October 5, 2025

This Guide lists all of our course readings and cases in Module #1 and identifies many of the key Frameworks, Concepts, & Issues that we have covered from the start of the semester until Exam #1. Note that all materials presented in the readings, lecture, discussions, simulations, and workshops should be considered as 'fair game' on all SM131 exams. Note, however, that the relative amount of 'market share' of page counts, lecture time, and other class/activity time we devote to course frameworks, concepts, and issues should be representative of the extent of emphasis we place on such frameworks during exams – i.e., the more pages and class time we devote to a topic, the more important we think it is and, ideally, the more important it will be on exams.

Note that this is meant to be illustrative, but not 100% comprehensive!

- ⊛ Note that the emphasis of the Midterm is on understanding the core frameworks, concepts, and issues presented and discussed in the course, including, especially, those listed below.
- ⊛ The **cases** that we read in preparation for our lecture and discussion sessions provide opportunities to apply course concepts. Please do not feel the need to know the full range of case details, e.g., names of company executives or dates of particular corporate actions. It is useful, however, to know the central **issues** in each case we read and to be prepared to apply the key concepts of the course to each of the cases that we have read. This will require an understanding of the basic plotlines and central facts of each case. You should not feel responsible for details of cases that we discussed in Lecture or Discussion Sections unless materials associated with those cases were assigned as readings. For example, if your faculty member discussed Tesla in class, but we did not have an assigned reading on Tesla, it would be unfair of us to ask about such case details on an exam.

Some other Exam information

- The Midterm may involve many types of questions, but the predominant mode will involve text or bullet point responses of short, medium, or longer lengths (e.g., 1-2 bullets, 3-5 bullets, or 10-15 bullets).
- We will also include some fraction of multiple choice or multiple answer type questions, though we hope to keep these to <30% of the exam.
- All exams in SM131 will be cumulative!
- Exam #1 will be administered via ExamSoft. Please be ready to take the exam via ExamSoft.
- If you qualify for accommodations on the exam, please ensure that you have registered for the Accommodations version of the exam. If your materials from the ODS are still pending, please inform your Discussion Instructor.
- **Please do not do anything that resembles cheating on the exam! If you are worried that you might feel a need to do something that resembles cheating, please reach out to an instructor (or TA) beforehand. We are serious! We want everyone to do well, but we are very committed to academic integrity at Questrom.**
- **If you have any worries about academic misconduct on the exam (or other areas of SM131), please reach out to us as soon as you can.**

Course Learning Goals

Upon completion of this course, students should be able

1. to help firms formulate plans **to create and capture economic value**
2. to explain the various **functions of a business** and to explain why firms exist, what roles they play, and **how firms operate in different economic, political, and social environments**
3. to explain the conditions under which **markets emerge and operate effectively**; to understand the role of **competition** driving efficiency and innovation; to characterize the causes, consequences, and business implications of **market failures**; and to apply these principles to make sound managerial recommendations regarding firm value creation and capture in imperfect markets.
4. to formulate and justify **responsible and ethical managerial decisions** based on an understanding of the roles and relationships of **businesses, governments, and other economic stakeholders**

Additional learning goals: completion of this course will enable students...

1. to deploy real-world relevant skills
 - written and oral communication
 - discussion & debate
 - information literacy & research expertise (including a knowledge of Pardee Library)

- *collaboration & leadership in teams*
- *software skills, e.g., Excel & AI*
- 2. *to socialize in the Questrom community, including...*
 - *understanding professional interactions among colleagues (e.g., team contribution & leadership)*
 - *understanding attendance & classroom expectations (contributions to each other's learning = key!)*
 - *adhering to expectations for Academic Integrity*
 - *developing an identity as a Questrom student who is **curious, collaborative, & resilient***
- 3. *to master the Questrom School environment, including...*
 - *the UDC & advising functions*
 - *the Feld Center*
 - *the Concentration Advisors*
 - *the Deans*
 - *the clubs*
 - *the Questrom Community (including the Alumni Community)*

Week #0 – Business & Course Intro

Discussion Readings:

- Small Business Association re choosing a legal form for a business

Case(s):

- Super Soaker

Learning Goals - by the conclusion of this week, SM131 students will be able...

- to make recommendations regarding an organization's legal form, based on an understanding of the nature of those forms and the tradeoffs among them

Key Frameworks, Concepts, & Issues:

- why does a business's legal form matter?
- limited liability – what is it and how does it affect fundraising & risk taking?
- forms of business
 - sole proprietorship, partnership, limited liability corporation, c-Corporation, S-Corporation, B-Corporation, Nonprofit
 - which firm is most appropriate for which type of business?

Week #1 – Creating & Capturing Value

Learning Goals - by the conclusion of this week, SM131 students will be able...

- to apply the Value Creation and Capture framework to make recommendations regarding how businesses can create and capture value and to understand how that value is split between agents in the value chain
- to map Industry Value Chains to track the flow of goods and services from raw materials to end consumer
- to apply Sen's perspective on Wellbeing as an alternative to Economic Value (BU Hub: Ethical Reasoning)

Lecture Readings:

- "Value Creation and Value Capture," SM131 Note
- "Value Frames," SM131 Note
- Optional Videos: "WTP and value capture" (M-Schilling) & "Value Creation and Capture" (T-Simcoe)

Key Frameworks, Concepts, & Issues:

- Theories of Value – e.g., Labor Theory of Value; Adam Smith, David Ricardo, & Karl Marx's views; Intrinsic (Objective) vs. Subject approaches to Value; Utility and the Marginal Revolution
- Industry Value Chain (often referred to simply as the "Value Chain")
 - raw materials, supplier, buyer
 - direction in which goods and payment flows in the Industry Value Chain

- Value Stick (aka, 'Value Creation & Capture Framework')
 - average Willingness to Pay (WTP)
 - average Price (P)
 - average Cost (C)
 - 2 party Value Chain & multi-party Value Chain (or "extended value chain")
 - Value Captured by the average Buyer
 - Value Captured by the average Firm
 - Value Captured by the average Supplier (in the multi-party case)
 - Consumer Surplus
 - Producer Surplus (aka, "Profit")
 - Value Created by an individual step in the Value Chain
 - Value Created by the entirety of the Value Chain
 - how can firms create value?
 - how can firms capture value?
- Amartya's Sen's perspective
 - not all value is economic value!
 - wellbeing
 - the role of autonomy (or freedom) in wellbeing
 - note: do not worry about the specific definitions of "*functionings*," "*capabilities*," or "*autonomy*" but please do understand how Sen believes that autonomy (or freedom) matter for wellbeing and, therefore, for value
 - the difference between economic value and Sen's perspective
 - how Sen's perspective is important for thinking about the role of business in developing and industrialized countries

Week #2: Porter's Value Chain & Value Creation via Marketing & Operations Management

This week of SM131...

- *introduces Porter's Value Chain (PVC) framework to provide structure for how to think about the activities that businesses undertake in order to create value*
- *introduces basic topics and principles of Marketing*
- *introduces basic topics and principles of Operations Management*
- *provides opportunities for students to practice applying the PVC and principles of Marketing and Operations Management*

Learning Goals - by the end of the week, students will be able...

- to apply **Porter's Value Chain** to understand the internal activities firms use to create value
- to apply **basic principles of Marketing** to help firms create value
- to apply **basic principles of Operations Management** to help firms create value

Lecture Materials

- SM131 note – "[Porter's Value Chain](#)"
- SM131 note – "[Marketing Myopia](#)"
- HBS article, "When Marketing is Strategy"
- [Operations and Supply Chain Management summary](#), selections from Ch1 of Jacobs OSCM textbook
- videos: IKEA, Zara, Amazon

Discussion Materials

- case: Warby Parker
 - "Warby Parker: How four students turned the eyewear industry on its head"
 - "Warby Parker: An Advertising and Marketing Strategy Case Study"
 - Videos: "Conspiracy Behind Your Glasses" & "The Warby Parker founders earned millions..."
- 2 Second Lean (Ch 5, "What Bugs You")
- case: dots manufacturing

Key Frameworks, Concepts, & Issues:

- Porter's Value Chain
 - goal of Porter's Value Chain
 - difference between Porter's Value Chain and the Industry Value Chain
 - primary activities vs. support activities
 - choice of insourcing vs. outsourcing activities
 - role of "fit" among activities
- Marketing
 - What is Marketing?
 - Functions of marketing
 - what is marketing?
 - how can marketing affect value creation & capture?
 - what is "Marketing Myopia" and how may it matter?
- Operations & Supply Chain Management
 - what is Operations & Supply Chain Management
 - how can Operations & Supply Chain Management affect value creation & capture
 - basic processes: planning, sourcing, manufacturing, distribution, (& returning)
 - Effectiveness
 - Efficiency
 - the effectiveness-efficiency tradeoff
 - e.g., the effectiveness-efficiency tradeoff at Ikea, Zara, & Amazon

Week #3: Accounting & Financial Statements

This week of SM131...

- *introduces basic topics and principles of Accounting*
- *introducing the essentials of Financial Statements*
- *introduces the role of Investors*
- *introducing library resources and other information resources relevant for finding accounting and financial data*

Learning Goals - by the end of the week, students will be able to...

- explain the key uses of accounting information
- identify the primary sources of accounting information
- interpret basic financial statements
- conduct basic financial analysis
- understand the types of investors, their goals, and the advantages and disadvantages of debt and equity investments

Lecture Readings

- [Accounting and Financial Statements, Chap 14](#)
- SM131 Note - "[Introducing Investors](#)"

Discussion 1

- Learning Goals – by the end of this session, students will be able to...
 - understand key financial statement elements/definitions
 - combine elements to build financial statements
 - link strategy to financial statements, and identify within firm changes over time

Discussion 2

- Learning Goals - by the end of the session, students will be able to...
 - implement vertical analysis (common-size financial statements)
 - implement basic DuPont decomposition
 - identify strategic differences across firms

Key Frameworks, Concepts, & Issues:

- what is accounting?
- how is accounting information used?
- sources of accounting information? (10K, 10Q; where to find them)

- Financial vs. Managerial Accounting
 - financial accounting – external uses, e.g., annual report, audits, other public financial statements
 - managerial accounting - mainly internal uses, e.g., cash flow analysis, budget analysis, pricing and transfer costs
- GAAP vs. IFRS
- Income Statement
 - key categories: revenues, gross profits, cost of goods sold, depreciation, net income,
 - bottom line = net income
 - net income = profit
 - what do we learn from the Income Statement? (extent+sources of profit over a particular period)
 - how to interpret Income Statements
- Accounting Equation ($A = L + E$)
- Balance Sheet
 - what are Assets + key categories of Assets (e.g., current assets, accounts receivable)
 - what are Liabilities + key categories of Liabilities (e.g., current liabilities, accounts payable, accrued expenses)
 - what is Shareholders' Equity?
 - what do we learn from the Balance Sheet? (e.g., financial position of firm at a moment in time)
 - how to interpret Balance Sheets
- Book Value vs. Market Value
- Common-Sizing Financials
 - why we do it
 - how to do it
 - how to interpret common-sized financial statements
- Materials from book not addressed in Accounting lecture
 - public accountant - Certified Public Accountant (CPA)
 - private accountant
 - accounting vs. bookkeeping
 - Double-Entry Bookkeeping
- Finance & Investors
 - key definitions: investors, equity & debt; dividends & retained earnings; book value vs. market value; assets vs. liabilities
 - information asymmetry & why it matters
 - debt investors vs. equity investors: advantages and disadvantages each
 - publicly held firms vs. privately held firms
 - what do investors expect?
 - financial returns
 - risk-return tradeoff
 - Environmental, Social, and Governance (ESG) considerations
 - Principal-Agent (P-A) Problem (note – we will not include the P-A Problem on Exam 1)
 - principal & agent
 - information asymmetry: moral hazard & adverse selection
 - Board of Directors (Independent Directors)
 - Accounting & Finance in Business School curricula

Week #4: Finance & Time Value of Money

This week of SM131...

- *introduces the time value of money, including Present Value & Future Value calculations*

Learning Goals - by the end of the week, students will be able to...

- to apply basic principles of **FINANCE**, including Time Value of Money calculations (e.g., Present Value, Future Value, and Net Present Value), to make decisions about investment options

- to understand the complexity of making a wise decision among investment options
- to understand the role of investors in creating and capturing value

Lecture Readings

- [Pearson Fundamentals of Corporate Finance Chap 3](#) (15 pages of text)
- [Pearson Fundamentals of Corporate Finance Chap 4.1](#) (5 pages)
- [Pearson Fundamentals of Corporate Finance Chap 8.1 and 8.2](#) (6 pages)
- [Introducing Investors](#) by Nalin Kulatilaka (no need to re-read if you read it for last week)

Key Frameworks, Concepts, & Issues:

- value of investments to firm & and impact on shareholder value
- measures of profitability (i.e., measures of rates of return; measures of firm value capture)
 - $ROS = \text{return on sales (net income / sales)}$
 - $ROE = \text{return on equity (net income / equity)}$
 - $ROA = \text{return on assets (net income / assets)}$
- DuPont Formula
 - $ROE = (\text{Net Income / Sales}) * (\text{Sales/Assets}) * (\text{Assets/Equity})$ or, stated differently:
 - $ROE = (ROS) * (\text{Asset Turnover}) * (\text{Leverage})$
- Present Value
 - what is present value?
 - why is present value of cash not received until the future less than the value of that amount of cash were it received today?
 - role of interest in present value calculations
 - role of time in present value calculations
 - formula for present value
 - how to apply present value formula
 - how to interpret present value formula
- Future Value
 - what is future value?
 - why is future value of cash received until the future greater than the value of that amount of cash were it received today?
 - role of interest (aka, “discount rate” or “discount factor”) in future value calculations
 - role of time in future value calculations
 - formula for future value
 - how to apply future value formula
 - how to interpret future value formula
- Net Present Value (NPV)
 - how to compute NPV [i.e., formula = $PV(\text{benefits}) - PV(\text{costs})$]
 - implications of $NPV \geq 0$ for project investment
 - implications of NPV overall for project selection (i.e., choose project with highest NPV if $NPV > 0$)
 - what does the Internal Rate of Return (IRR) mean?
 - what is the relationship between the IRR and $NPV = 0$?